Chapter Fifty-Eight

Taxation Reforms

Tax Revenues Are the Principal Source of Government Revenues

The revenues to the government as sovereign come from primarily three sources. First, tax revenues—from income tax, corporation tax, central GST, customs, excise, wealth tax, etc. Second, from the sale or concessioning of natural and sovereign resources like minerals, spectrum, etc. Third, revenue from minting of coins and printing of notes; seigniorage in the form of dividends/transfer of surplus from RBI or penalty and fines received in exercise of sovereign powers. Taxation revenues are the principal source of government revenues.

Other non-tax revenues like dividends from commercial enterprises and capital receipts from sale of equity stake in PSUs are actually not ‘revenues’ of the government as sovereign. Such receipts are against investments made in business enterprises established by the government and should be basically treated as returns on business investments made. Unfortunately, government revenues as sovereign and from its commercial enterprises get mixed up and hide the poor comparator returns from the commercial investments made by the government.

India’s current tax system is complicated and dysfunctional. It yields less revenue for the government to pay for public goods and services. Yet, it taxes the productive forces of the economy excessively and in a manner that it disincentivizes productivity. Economic agents have to spend far too much time contriving to avoid payment of taxes. The current system also taxes workers too much and profits relatively lightly, but in a complicated manner. Wealth is taxed too little.